

COVER SHEET

A S 9 4 0 0 2 3 6 5

Sec. Registration Number

S P C P O W E R C O R P O R A T I O N

(f o r m e r l y S A L C O N P O W E R C O R P .)

(Company's Full Name)

7 t h F l o o r B D O T o w e r s P a s e o

8 7 4 1 P a s e o d e R o x a s

M a k a t i C i t y

(Business Address: No. Street/City/Town/Province)

Mr. Niño Ray D. Aguirre

Contact Person

8810 44 74 to 77

Company Telephone Number

0 9

Month

3 0

Day

Calendar Year

SEC FORM

1 7 - Q

FORM TYPE

0 6

Month

1 1

Day

Annual Meeting

Seconday License Type, if Applicable

Dept. Requiring this Doc.

Amended Articles Number/Section

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

DOCUMENT I.D.

Cashier

STAMPS

Remarks = pls. use black ink for scanning purposes

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT UNDER SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17 (2) (b) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. SEC Identification Number AS94-002365 3. BIR Tax Identification No. 003-868-048-00000

4. SPC POWER CORPORATION
Exact name of the issuer as specified in its charter

5. Metro Manila, Philippines 6. (SEC Use Only)
Province, country, or other jurisdiction Industry Classification Code:
of incorporation

7. 7th FL, BDO Towers Paseo, 8741, Paseo de Roxas, Makati City, 1209
Address of Issuer's principal office Postal Code

8. (63 2) 8810-4474 to 77
Issuer's telephone number, including area code

9. N.A.
Former name of former address, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Section 4 and 8 of the RSA

- | a. Title of Each Class | b. Number of Shares of Common Stock
Outstanding and Amount of Debt
Outstanding |
|------------------------|--|
|------------------------|--|

Common Shares (as of September 30, 2025)	1,496,551,803 shares
Total Debt (as of September 30, 2025)	-

11. Are any or all of the securities listed on a Stock Exchange?

Yes [☒] No [☐]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange common shares

12. Check whether the issuer:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12 months or for such shorter period that the registrant was required to file such report(s):

Yes [☒] No [☐]

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [☒] No [☐]

PART I – FINANCIAL INFORMATION

ITEM 1. CONSOLIDATED FINANCIAL STATEMENTS

The consolidated interim financial statements of the Parent Company and its Subsidiaries (the “Group”) are attached herewith as follows:

- a. Consolidated Statements of Financial Position – September 30, 2025 (unaudited) and December 31, 2024 (audited).
- b. Consolidated Statements of Comprehensive Income – Three Months Ended September 30, 2025 and 2024 (unaudited).
- c. Consolidated Statements of Comprehensive Income – Nine Months Ended September 30, 2025 and 2024 (unaudited).
- d. Consolidated Statements of Changes in Stockholders’ Equity – Nine Months Ended September 30, 2025 and 2024 (unaudited).
- e. Consolidated Statements of Cash Flows – Nine Months ended September 30, 2025 and 2024 (unaudited).
- f. Notes to the Consolidated Interim Financial Statements.

ITEM 2. MANAGEMENT’S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITIONS AND RESULTS OF OPERATIONS

Hereunder is management’s discussion and analysis of the significant factors affecting the financial performance, financial position and cash flows of the Parent Company and Subsidiaries (collectively referred to as the “Group”). The discussion and analysis should be read in conjunction with the accompanying interim consolidated financial statements and the notes thereto as well as the schedules and disclosures set forth elsewhere in this report.

Financial Conditions and Results of Operations

Results of Operations

Three Months Ended September 30, 2025 and 2024

The Group’s consolidated comprehensive net income for the third quarter rose by 263.3% to ₱864.2 million from ₱237.9 million in the same period last year. The growth was largely attributable to (i) higher gross margin, reflecting the optimization of major operational costs, particularly fuel, spares, materials and supplies, and lubricants; (ii) increase in equity share in the net earnings of investee companies; (iii) higher interest income and net foreign exchange gains.

The equity share in the third-quarter earnings of investee companies increased by 120.5% to ₱243.8 million from ₱110.6 million in the same quarter last year. This was mainly attributed to the increase in PSC sales and lower operating costs of KEPCO SPC Power Corporation (KSPC), which resulted in the rise of its net income to ₱401.5 million from ₱18.8 million in the same period last year. On the other hand, the net income of Mactan Electric Company, Inc. (MECO) decreased by 36.5%, from ₱130.9 million in the third quarter of 2024 to ₱83.2 million in the same period in 2025 driven by lower energy fee and higher maintenance costs.

Consolidated revenues increased by 46.0% to ₱1,020.6 million in the third quarter of 2025 from ₱698.8 million in the corresponding period last year due to higher energy sold.

The consolidated cost of operations decreased by 47.9% to ₱346.5 million during the period, from ₱665.6 million in the same period in 2024. The decline was primarily driven by lower energy generation, which resulted in reduced utilization of fuels and lubricants, as well as lower consumption of spare parts, materials and supplies, and repairs and maintenance services. This indicates a more efficient utilization of plant resources during the period.

As revenues grew at a faster pace than the cost of operations, gross margin rocketed by 1931.8% to ₱674.1 million during the period from ₱33.2 million in the previous period, reflecting improved operational efficiency and enhanced profitability.

Consolidated general and administrative expenses increased by 25.0% to ₱49.8 million in 2025 from ₱39.8 million in the previous period. The increase was primarily attributed to the higher costs related to taxes and licenses, business development, human resource developmental training, insurance and professional services, including consultancy, strategic planning, and growth-related initiatives. This movement reflects the Group's continued investment in strengthening organizational capabilities and supporting long-term business expansion.

Interest income rose by 28.2% to ₱51.2 million in 2025 from ₱39.9 million in the previous year. The growth was primarily driven by additional short-term investments in money market placements, reflecting improved cash management and the strategic utilization of temporary available cash to generate higher short-term returns.

Other income slightly declined by 0.1% to ₱602.2 million in the current period from ₱602.7 million in the previous period. The movement was primarily attributable to the net effect of higher interest income and foreign exchange gains from financial assets and transactions, offset by a decline in the equity share in the net earnings of associates, resulting in a minimal overall decrease in other income.

Foreign exchange gains from the restatement of U.S. dollar-denominated assets amounted to ₱46.0 million during the period, in contrast to the previous period's net foreign exchange losses of ₱60.8 million.

Provision for income tax rose by 691.8% to ₱101.3 million in September 2025 from ₱12.8 million in the previous period, primarily due to improved operational performance which further resulted in increased profit levels during the period.

The income from discontinued operations in the prior period amounting to ₱167.8 million resulted from the disposal of the Group's full interest in BLCI. It comprised BLCI's results of operations from January 1 to September 12, 2024 and the corresponding gain related to the sale.

Nine Months Ended September 30, 2025 and 2024

Consolidated total comprehensive income amounted to ₱1,744.4 million for the period ending September 2025, representing a 75.9% increase compared with previous year's level of ₱991.9 million. This improvement was driven by the power generation segment's robust profit margins, achieved through maximizing capacity utilization and effective cost management, which resulted in higher gross margin.

The Group recorded a double-digit return on average equity of 15.5% for the period ended September 2025 and 9.0% for the same period in 2024. Earnings per share rose to ₱1.17, an increase of 85.7% from ₱0.63 per share in the same period last year, reflecting stronger profitability and operational performance.

Consolidated revenues decreased by 10.3% to ₱2,120.1 million from ₱2,363.1 million in the same period last year, primarily due to lower pass-through fuel costs and reduced energy dispatch in the power generation segment, as the Group maximized opportunities in the Reserve Market and WESM.

The equity share in the earnings of investee companies, namely KSPC and MECO, accounted for a significant portion of total comprehensive income in September 2025, representing 28.1% of the total. The investee companies contributed ₱491.0 million during the period, 19.2% lower than the ₱608.0 million recorded in the prior year. The decline was primarily driven by (1) lower overall sales resulting from the 35-day scheduled plant outages from January to March 2025, (2) reduced revenues from WESM, and (3) higher maintenance costs incurred during the period. These were partially offset by MECO's higher net income, which was attributed to increased energy sales purchased at a lower average price.

The generation business segment remained the primary earnings contributor, accounting for 71.9% of the Group's net income. The segment contributed ₱1,253.4 million during the period, a substantial increase of 563.2% from ₱189.0 million in the same period last year, driven by improved operational performance and higher energy sales.

Cost of services decreased significantly by 70.7% to ₱2,134.6 million in September 2025 from the same period last year, mainly due to lower consumption of fuels, spares, materials and supplies, and lubricants, as well as reduced spending on repairs and maintenance resulting from the Group's lower energy output. The significant reduction in costs reflects the Group's efficient operational management and the alignment of generation activities with prevailing market demand.

As the costs of services decreased more significantly than revenues, the net effect on gross margin was a substantial increase of 554.0%, rising to ₱1,494.2 million in September 2025 from ₱228.5 million in the previous period. The improvement in gross margin was primarily driven by optimized plant utilization during the period.

General and administrative expenses increased by 19.1% to ₱169.8 million in the third quarter from ₱142.6 million in the comparative period, mainly attributable to the higher spending in business development initiatives, human resource development and training, transportation and travel, and taxes and licenses.

Interest income rose by 13.3% to ₱146.1 million in 2025 from ₱128.9 million in the previous period. The increase was attributed to a higher level of temporarily available excess cash invested in short-term money market placements.

Foreign exchange gains from the restatement of U.S. dollar-denominated assets amounted to ₱8.8 million during the period, compared with ₱11.1 million in the previous period. The decline was primarily due to unfavorable foreign currency movements, reflecting the appreciation of the Philippine peso against the U.S. dollar.

Other income decreased by 14.5% to ₱644.4 million during the period from ₱754.0 million in the corresponding period of 2024. The movement was mainly attributable to the lower equity in net earnings of associates, higher bank charges arising from additional services rendered by the bank, and reduced foreign exchange gains.

Provision for income tax increased by 424.4% to ₱224.4 million in 2025 from ₱42.8 million in the previous year. The significant rise reflects higher taxable income resulting from the power generation segment's strong profit margins, supported by effective planning, cost management, and increased revenues during the period.

The Group's income before income tax from continuing operations increased by 118.9%, reaching ₱1,744.4 million in the current period from ₱797.0 million in the previous year.

Income from discontinued operations was nil in the current period, compared with ₱194.9 million in the prior period. This income pertains to the results of operations of BLCI from January to September 2024 and the corresponding excess consideration received, which was deconsolidated after the Group's sale of its entire shareholding in the company, which took effect on September 12, 2024.

Financial Condition

September 30, 2025 Vs. December 31, 2024

The Group's **consolidated assets** amounted to ₱13,055.0 million as of September 2025, representing an increase of 11.0% from ₱11,765.1 million recorded in 2024. The growth was primarily driven by higher cash and cash equivalents, as well as an increase in trade and other receivables.

As of end-September 2025, **total liabilities** increased by ₱768.2 million, or 23.1%, to ₱624.2 million from the same period in the previous year. The movement was primarily attributable to higher trade and other payables, as well as a rise in income tax payable.

In line with this, **total stockholders' equity** increased by 10.3% to ₱12,286.8 million in 2025 from ₱11,141.0 million in the prior year. The growth was primarily driven by the net income generated during the period net by the dividends declared, reflecting the Group's strong operating performance and retained earnings accumulation.

Trade and other receivables increased by 55.7% to ₱645.1 million this quarter from ₱414.5 million in the same period last year, primarily due to higher receivables from the Reserve Market in WESM during the period.

As of end-September 2025, **inventories** declined by 17.4% to ₱303.1 million, compared with ₱366.9 million in the prior year. The reduction was mainly due to lower fuel inventory volumes,

reflecting decreased consumption and procurement aligned with reduced energy generation during the period.

Prepayments and other current assets declined by 37.9% to ₱23.0 million during the period from ₱37.1 million in the previous year. The decrease was primarily attributable to lower prepaid taxes and prepaid insurance, reflecting the timing of expense recognition and policy renewals.

Investment in associates was 6.6% lower by ₱5,763.6 million at the end of December 2024. The decrease was primarily due to the recognition of the Group's share in earnings amounting to ₱491.0 million net of dividend income of ₱872.6 million, which resulted in a net reduction in the carrying value of the investments.

Property, plant and equipment declined by 2.4% to ₱439.1 million this quarter from ₱450.0 million in the same period last year. The decrease was attributed to depreciation and amortization amounting to ₱46.2 million, disposal of assets amounting to ₱2.9 million net of new additions to property, plant and equipment amounting to ₱38.2 million.

Trade and other payables increased by 16.1% to ₱440.8 million from ₱379.8 million, primarily due to fuel deliveries in September 2025 that were scheduled for payment in the following month, as well as the reversal of payables arising from unreleased checks during the period.

Income tax payable increased substantially by 185.7% to ₱95.3 million from ₱33.3 million in the previous period, due to higher taxable income resulting from improved operating performance and profitability during the current period.

Unappropriated retained earnings increased by ₱1,145.5 million, or 12.0%, to ₱10,729.6 million from ₱9,584.1 million. The increase is reflective of the net effect of the net income attributable to equity holders of the Parent Company amounting to ₱1,509.4 million in the first nine months of 2025 less interim cash dividends declared amounting to ₱598.6 million.

On June 26, 2025, the Parent Company's Board of Directors approved the declaration of interim cash dividends amounting to ₱0.4 per share or a total amount of ₱598.6 million, payable on July 10, 2025, to stockholders of record as of June 26, 2025. This declaration reflects the Group's strong financial performance and continued commitment to delivering shareholder value.

Cash Flows

The Group continues to demonstrate robust cash flow generation and maintain a solid liquidity position, ensuring sufficient financial flexibility to support strategic capital management initiatives and pursue new investment opportunities that enhance long-term growth and shareholder value.

Cash and cash equivalents increased by 32.7% to ₱6,180.6 million as of end-September 2025, from ₱4,658.7 million in the previous period in 2024. Further details on cash and cash equivalents are discussed in the Cash Flows section below.

Net cash provided by operating activities rose by 4,592.2% to ₱1,251.7 million during the period, mainly driven by effective cost optimization measures and improved revenue performance, which collectively contributed to stronger profitability and operating cash generation.

Net cash provided by investing activities declined by 27.9% to ₱312.8 million during the period, primarily due to lower dividend inflows from investee companies, reflecting the timing and amount of distributions received during the reporting period.

Net cash used in financing activities declined by 64.0% to ₱576.3 million during the period from ₱1,598.6 million in the previous year. The decrease pertains to lower cash dividend payments and the settlement of lease liabilities.

Key Performance Indicators

The following financial indicators are used, among others, to evaluate the performance of the Group as of September 30, 2025 and December 31, 2024 and for the nine months ended September 30, 2025 and 2024:

Further descriptions of the performance indicators are provided below:

	For the nine months ended September 30	
	2025	2024
Earnings Per Share	₱1.17	₱0.63
Share In Net Earnings of Associates	₱491,017,623	₱608,025,133
Return on Equity (total comprehensive income divided by average total equity)	15.55%	9.03%
Return on Assets (total comprehensive income divided by average total assets)	15.03%	8.97%
Net cash flows generated from operating activities	₱1,279,005,776	₱27,258,111
Net cash flows provided by investing activities	₱807,647,119	₱1,120,455,173
Net cash flows used in financing activities	(₱576,281,234)	(₱1,598,579,403)
Solvency ratio (total comprehensive income before depreciation and amortization divided by total liabilities)	2.33	0.63

	Sep. 30, 2025	Dec. 31, 2024
Cash and cash equivalents at end of period	₱6,180,568,586	₱4,658,740,988
Current ratio (total current assets divided by current liabilities)	11.47	11.50
Debt ratio (total liabilities divided by total assets)	0.06	0.05
Debt-to-equity ratio (total liabilities divided by total equity)	0.06	0.06

Earnings Per Share (EPS)

EPS is a measure of profitability representing net income attributable to equity holders divided by the weighted average number of shares outstanding as of the end of the relevant period.

Share in Net Earnings of Associates

This indicates profitability of the investments and investees' contribution to the Group's net income. It is determined by multiplying the associate's net income by the investor's percentage of ownership, less goodwill impairment cost, if any. Goodwill is the difference between the acquisition cost of the investment and the investor's share in the value of the net identifiable assets of the investee at the date of acquisition.

Return on Equity

Return on Equity is derived by dividing total comprehensive income by average total stockholders' equity. This ratio indicates the level of profit earned by the Group in comparison with the total amount of stockholders' equity found in the statements of financial position. The higher the return on equity, the higher the Group's ability to produce internally generated cash flows. Moreover, the higher the Group's return on equity compared to other companies in the same industry, the better.

Return on Assets

Return on Assets is derived by dividing total comprehensive income by average total assets. This ratio measures the ability of the Group's management to realize an adequate return on the average total resources employed for the business. A high percentage rate indicates how the Group is well run and has a healthy return on assets employed.

Cash Flows

The Group uses the Statements of Cash Flows to determine the sources and application of funds for the period and to analyze and evaluate how the sources and uses of capital are being managed.

Current Ratio

Current Ratio is derived by dividing total current assets by total current liabilities. This ratio is a rough indication of the Group's ability to service its current obligations. The higher the current ratio, the greater the Group's ability to pay its current obligations.

Debt Ratio

Debt ratio is derived by dividing total liabilities by total assets. The ratio indicates the degree of protection provided for the Group's creditors. A high ratio generally indicates greater risk being assumed by creditors. On the other hand, a low ratio indicates greater long-term financial safety.

Debt-to-Equity Ratio

Debt-to-equity ratio is derived by dividing total liabilities by total equity. The ratio indicates how leveraged the Group is. It compares the resources provided by creditors against the resources provided by the stockholders in running the business of the Group.

Solvency Ratio

Solvency Ratio is derived by dividing the sum of total comprehensive income, depreciation and amortizations by the sum of long-term and short-term liabilities. This ratio provides another measurement of how likely the Group will be able to continue meeting its debt obligation. The higher the ratio, the greater the Company's ability to continue meeting its debt obligations.

Any Significant Elements of Income or Loss from Continuing Operations

There are no significant elements of income or loss from continuing operations.

Major Subsequent Events

On October 17, 2025, SPC Island Power Corporation, a wholly owned subsidiary of the Parent Company, entered into two contracts for its battery energy storage system (BESS) projects in Panay (100 MWh) and Bohol (60 MWh). The agreements include a supply contract with Beijing Hyperstrong Technology Co., Ltd. for the BESS units and an engineering, design and construction contract with China Communications Services Philippines Corporation.

Aside from that mentioned above, there are no other events or transactions that have occurred subsequent to the reporting date that would have material effect on the interim financial statements at that date or that are of such significance in relation to the Group's affairs to require adjustment or mention in the management's discussion in order to make them not misleading regarding the financial position, financial performance, or the cash flows of the Group.

Material Off-Balance Sheet Items

There are no material off-balance sheet transactions, arrangements, obligations, and other relationships of the Group with unconsolidated entities or other persons created during the reporting period.

Material Commitments for Capital Expenditures

As of September 30, 2025, there are no material commitments for capital expenditures other than in the ordinary course of business to improve power generation and distribution facilities. Funding comes from internally generated cash from operations.

Recomputation and Presentation of Prior Period Figures

The Company has made certain recomputation and presentation adjustments to the comparative figures for the quarter ended September 30, 2024 to align the presentation with the final audited figures reflected in the annual report.

These adjustments relate primarily to the recomputation of the income from discontinued operations that arose from the sale of the Group's full investment in BLCI on September 12, 2024.

Known Trends

Except as already discussed herein and in the notes to the interim consolidated financial statements, management is not aware of any other trend, event or uncertainty to have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales/revenues/income from continuing operations. Management is likewise not aware of any other event that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the Issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

SPC POWER CORPORATION
Issuer

By:



EDGARDO S. CABRAL, JR.
Finance Manager
Date: November 13, 2025



NIÑO RAY D. AGUIRRE
VP-Finance & Treasurer
Date: November 13, 2025

SPC POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(Amounts in Philippine Pesos)

	Sep. 30, 2025	Dec. 31, 2024	Incr. / (Decr.)	
	(Unaudited)	(Audited) (Restated)	Amount	Percent
ASSETS				
Current Assets				
Cash and cash equivalents	6,180,568,586	4,658,740,988	1,521,827,598	32.7%
Trade and other receivables - net	645,098,372	414,451,431	230,646,941	55.7%
Inventories - at cost	303,075,627	366,917,840	(63,842,213)	(17.4%)
Prepayments and other current assets	23,009,451	37,071,087	(14,061,636)	(37.9%)
Total Current Assets	7,151,752,036	5,477,181,346	1,674,570,690	33.0%
Noncurrent Assets				
Investment in associates	5,381,957,089	5,763,575,703	(381,618,614)	(6.6%)
Property, plant and equipment - net	439,144,219	450,025,525	(10,881,306)	(2.4%)
Deferred income tax assets	32,651,402	33,856,007	(1,204,605)	(3.6%)
Intangible Assets	152,063	608,253	(456,190)	(75.0%)
Other noncurrent assets - net	49,352,783	39,890,638	9,462,145	23.7%
Total Noncurrent Assets	5,903,257,556	6,287,956,126	(384,698,570)	(63.9%)
TOTAL ASSETS	13,055,009,592	11,765,137,472	1,289,872,120	11.0%
LIABILITIES & EQUITY				
Current Liabilities				
Trade and other payables	440,793,320	379,778,622	61,014,698	16.1%
Income tax payable	95,250,312	33,338,578	61,911,734	185.7%
Current portion of lease liabilities	2,386,043	2,386,043	-	0.0%
Dividends payable	85,114,175	60,857,481	24,256,694	39.9%
Total current liabilities	623,543,850	476,360,724	147,183,126	241.6%
Noncurrent Liabilities				
Asset retirement obligation	97,424,366	97,424,366	-	0.0%
Net pension liabilities	31,084,464	31,084,464	-	0.0%
Deferred income tax liabilities	13,374,595	14,571,925	(1,197,330)	(8.2%)
Lease liabilities - net of current portion	2,816,865	4,734,071	(1,917,206)	(40.5%)
Total noncurrent liabilities	144,700,290	147,814,826	(3,114,536)	(48.7%)
Total Liabilities	768,244,140	624,175,550	144,068,590	23.1%
(Forward)				

Stockholders' Equity

Capital stock - P1 par value

Authorized - 2,000,000,000 shares

Issued - 1,569,491,900 shares	1,569,491,900	1,569,491,900	-	0.0%
-------------------------------	---------------	---------------	---	------

Additional paid-in capital	86,810,752	86,810,752	-	0.0%
----------------------------	------------	------------	---	------

Retained earnings:

Unappropriated	10,729,607,229	9,584,104,015	1,145,503,214	12.0%
----------------	----------------	---------------	---------------	-------

Appropriated	-	-	-	
--------------	---	---	---	--

Other comprehensive income:

Remeasurement of employee benefits	(1,866,361)	(1,866,361)	-	0.0%
------------------------------------	-------------	-------------	---	------

Net unrealized valuation gains on financial asset at FVOCI	16,350,000	16,350,000	-	0.0%
---	------------	------------	---	------

Share in remeasurement of employee benefits of associates	2,276,217	2,276,217	-	0.0%
--	-----------	-----------	---	------

Treasury stock at cost - 72,940,097 shares	(131,008,174)	(131,008,174)	-	0.0%
--	---------------	---------------	---	------

Equity attributable to equity holders of Parent	12,271,661,563	11,126,158,349	1,145,503,214	10.3%
--	----------------	----------------	---------------	-------

Equity attributable to Non-controlling interests	15,103,889	14,803,573	300,316	2.0%
---	------------	------------	---------	------

Total Equity	12,286,765,452	11,140,961,922	1,145,803,530	10.3%
--------------	----------------	----------------	---------------	-------

TOTAL LIABILITIES and EQUITY	13,055,009,592	11,765,137,472	1,289,872,120	11.0%
-------------------------------------	-----------------------	-----------------------	----------------------	--------------

SPC POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(Amounts in Philippine Pesos)

	For the three months ended September 30		Increase / (Decrease)	
	2025 (Unaudited)	2024 (Unaudited) (Restated)	Amount	Percent
CONTINUING OPERATIONS:				
REVENUE	1,020,601,734	698,823,261	321,778,473	46.0%
COST OF OPERATIONS	346,499,427	665,645,215	(319,145,788)	(47.9%)
GROSS MARGIN	674,102,307	33,178,046	640,924,261	1931.8%
GENERAL AND ADMINISTRATIVE EXPENSES	(49,826,136)	(39,847,429)	9,978,707	(25.0%)
OTHER INCOME (CHARGES) - Net				
Equity in net earnings of associates	243,758,804	110,570,824	133,187,980	120.5%
Interest income	51,175,374	39,928,161	11,247,213	28.2%
Interest expense	(93,035)	(133,751)	40,716	(30.4%)
Foreign exchange gains (losses)	45,959,693	(60,798,853)	106,758,546	(175.6%)
Others - net	527,320	(330,023)	857,343	(259.8%)
	341,328,156	89,236,358	252,091,798	282.5%
INCOME BEFORE INCOME TAX	965,604,327	82,566,975	883,037,352	1069.5%
PROVISION FOR INCOME TAX				
Current	101,347,194	12,799,467	88,547,727	691.8%
Deferred	20,967	(273,586)	294,553	(107.7%)
	101,368,161	12,525,881	88,842,280	709.3%
INCOME FROM CONTINUING OPERATIONS	864,236,166	70,041,094	794,195,072	1133.9%
DISCONTINUED OPERATIONS:				
After tax income (loss) from Discontinued Operations	-	167,816,882	(167,816,882)	(100.0%)
NET INCOME	864,236,166	237,857,976	626,378,190	263.3%
OTHER COMPREHENSIVE INCOME	-	-	-	
TOTAL COMPREHENSIVE INCOME	864,236,166	237,857,976	626,378,190	263.3%
NET INCOME ATTRIBUTABLE TO:				
Equity holders of the Parent	864,107,168	206,782,959	657,324,209	317.9%
Non-controlling interests	128,998	31,075,017	(30,946,019)	(99.6%)
	864,236,166	237,857,976	626,378,190	263.3%
EARNINGS PER SHARE (Note 3):				
Basic/diluted, for income for the period attributable to equity holders of the Parent	0.58	0.14	0.44	317.9%

SPC POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(Amounts in Philippine Pesos)

	For the nine months ended September 30		Increase / (Decrease)	
	2025 (Unaudited)	2024 (Unaudited) (Restated)	Amount	Percent
REVENUE	2,120,146,018	2,363,065,267	(242,919,249)	(10.3%)
COST OF OPERATIONS	625,911,375	2,134,595,934	(1,508,684,559)	(70.7%)
GROSS MARGIN	1,494,234,643	228,469,333	1,265,765,310	554.0%
GENERAL AND ADMINISTRATIVE EXPENSES	(169,817,894)	(142,631,315)	27,186,579	(19.1%)
OTHER INCOME (CHARGES) - Net				
Equity in net earnings of associates	491,017,623	608,025,133	(117,007,510)	(19.2%)
Interest income	146,056,212	128,856,887	17,199,325	13.3%
Interest expense	(306,679)	(417,929)	(111,250)	26.6%
Foreign exchange gains (losses)	8,804,753	11,118,895	(2,314,142)	(20.8%)
Others - net	(1,145,141)	6,398,830	(7,543,971)	(117.9%)
	644,426,768	753,981,816	(109,555,048)	(14.5%)
INCOME BEFORE INCOME TAX	1,968,843,517	839,819,834	1,129,023,683	134.4%
PROVISION FOR INCOME TAX				
Current	224,411,991	43,025,257	181,386,734	421.6%
Deferred	7,275	(233,444)	240,719	(103.1%)
	224,419,266	42,791,813	181,627,453	424.4%
INCOME FROM CONTINUING OPERATIONS	1,744,424,251	797,028,021	947,396,230	118.9%
DISCONTINUED OPERATIONS:				
After tax income (loss) from Discontinued Operations	-	194,865,285	(194,865,285)	(100.0%)
NET INCOME	1,744,424,251	991,893,306	752,530,945	75.9%
OTHER COMPREHENSIVE INCOME				
TOTAL COMPREHENSIVE INCOME	1,744,424,251	991,893,306	752,530,945	75.9%
NET INCOME ATTRIBUTABLE TO:				
Equity holders of the Parent	1,744,123,935	941,176,657	802,947,278	85.3%
Non-controlling interests	300,316	50,716,649	(50,416,333)	(99.4%)
	1,744,424,251	991,893,306	752,530,945	75.9%
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:				
Equity holders of the Parent	1,744,123,935	941,176,657	802,947,278	85.3%
Non-controlling interests	300,316	50,716,649	(50,416,333)	(99.4%)
	1,744,424,251	991,893,306	752,530,945	75.9%

EARNINGS PER SHARE (Note 3):

Basic/diluted, for income for the period				
attributable to equity holders of the Parent	1.17	0.63	0.54	85.3%

SPC POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 & 2024

Equity Attributable to Equity Holders of the Parent											
	Capital Stock	Additional Paid-In Capital	Treasury Stock at Cost	Remeasureme nt of Employee Benefits	Share of Associates in OCI	Retained Earnings		Net Unrealized Valuation Gains on Financial Assets at FVOCI	Total	Non- controlling Interest	Total
						Appropriated	Unappropriated				
Balances at January 1, 2025	P1,565,491,300	P86,810,752	P(131,008,174)	P(1,866,361)	P2,276,217	-	P9,584,104,015	P16,350,000	P11,126,158,349	P14,803,573	P11,140,961,922
Total comprehensive income from continuing operations	-	-	-	-	-	-	1,744,123,935	-	1,744,123,935	300,316	1,744,424,251
Cash dividends	-	-	-	-	-	-	(598,620,721)	-	(598,620,721)	-	(598,620,721)
Balances at September 30, 2025	P1,565,491,300	P86,810,752	P(131,008,174)	P(1,866,361)	P2,276,217	-	P10,729,607,229	P16,350,000	P12,271,661,563	P15,103,889	P12,286,765,452
Balances at January 1, 2024	P1,565,491,300	P86,810,752	P(131,008,174)	P1,208,496	P2,941,249	-	P9,598,002,269	P13,350,000	P11,140,796,492	P166,912,054	P11,307,708,546
Total comprehensive income from continuing operations	-	-	-	-	-	-	761,625,978	-	761,625,978	35,402,043	797,028,021
Total comprehensive income from discontinued operations	-	-	-	-	-	-	179,550,679	-	179,550,679	15,314,606	194,865,285
Total comprehensive income	-	-	-	-	-	-	941,176,657	-	941,176,657	50,716,649	991,893,306
Effect of discontinued operations	-	-	-	(1,925,791)	-	-	-	-	(1,925,791)	(120,202,247)	(122,128,038)
Cash dividends	-	-	-	-	-	-	(1,496,551,803)	-	(1,496,551,803)	(41,706,000)	(1,538,257,803)
Balances at September 30, 2024	P1,565,491,300	P86,810,752	P(131,008,174)	P(717,295)	P2,941,249	-	P9,042,627,123	P13,350,000	P10,583,495,555	P55,720,456	P10,639,216,011

SPC POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Amounts in Philippine Pesos)

For the nine months ended September 30

	2025	2024
	(Unaudited)	(Unaudited)
		(Restated)
CASH FLOWS FROM OPERATING ACTIVITIES		
INCOME BEFORE INCOME TAX	1,968,843,517	839,819,834
Income (loss) from discontinued operations	-	201,476,314
Adjustments for:		
Equity in net (earnings) losses of associates	(491,017,623)	(608,025,133)
Depreciation and amortization	46,622,478	65,957,911
Interest expense	306,679	460,026
Net changes in pension liability	-	(16,002,174)
Interest income	(146,056,212)	(129,315,750)
Loss (gain) on disposal of assets	-	(161,816,934)
Unrealized foreign exchange losses (gains)	(11,455,937)	(14,205,327)
Operating income before working capital changes	1,367,242,901	178,348,767
Decrease (increase) in:		
Trade and other receivables - net	(209,847,605)	259,629,695
Due from Related Parties	(468,534)	778,481
Materials and supplies - net of allowance	63,842,213	(1,183,712)
Prepayments and other current assets	(692,942)	44,648,880
Increase (decrease) in:		
Trade and other payables	61,135,287	(328,415,918)
Due to Related Parties	(120,586)	(467,854)
Customers' deposits	-	(193,956,490)
Net cash generated from operations	1,281,090,734	(40,618,151)
Income Tax Paid	(147,745,680)	(58,211,968)
Interest paid	(306,679)	(3,227,521)
Interest received	145,967,401	129,315,751
Net cash provided by operating activities	1,279,005,776	27,258,111
CASH FLOWS FROM INVESTING ACTIVITIES		
Cash dividends received	852,394,248	1,061,217,665
Additions to plant, property and equipment	(38,185,103)	(47,789,106)
Proceeds from disposal of PPE	2,900,120	307,153,350
Additional investment in associates	-	(199,613,240)
Decrease in other noncurrent assets	(9,462,146)	(513,496)
Net cash provided by investing activities	807,647,119	1,120,455,173
CASH FLOWS FROM FINANCING ACTIVITIES		
Cash dividends paid	(574,364,027)	(1,596,975,618)
Payment of lease liabilities	(1,917,207)	(1,603,785)
Net cash used in financing activities	(576,281,234)	(1,598,579,403)

NET EFFECT OF EXCHANGE RATE CHANGES	11,455,937	14,205,327
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	1,510,371,661	(450,866,119)
CASH AND CASH EQUIVALENTS AT BEG. OF PERIOD	4,658,740,988	4,743,043,034
CASH AND CASH EQUIVALENTS AT END OF PERIOD	6,180,568,586	4,306,382,242

SPC POWER CORPORATION AND SUBSIDIARIES
SELECTED NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS

1. General

The consolidated financial statements comprise the financial statements of the Parent Company and the following wholly owned and majority owned subsidiaries:

	Nature of Business	% of Ownership		
		Direct	Indirect	Total
SPC Island Power Corporation	Power generation	100.00%	-	100.00%
Cebu Naga Power Corporation	Power generation	100.00%	-	100.00%
SPC Malaya Power Corporation	Power generation	40.00%	38.40%	78.40%
SPC Light Company, Inc.	Holding company	40.00%	24.00%	64.00%
SPC Electric Company, Inc.	Holding company	40.00%	-	40.00%

The consolidated interim financial statements of the Group were authorized for issue by the Parent Company's Board of Directors through its Executive Committee on November 13, 2025.

2. Accounting Policies

The Group's consolidated interim financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS). Measurements are on historical cost basis, except for financial assets at FVOCI which have been measured at fair value, and are presented in Philippine Peso, the Group's functional and presentation currency.

The accounting policies adopted in the preparation of the interim financial statements are the same as those mentioned in the audited financial statements for the year 2024.

3. Earnings Per Share

The following presents information necessary to calculate earnings per share attributable to equity holders of the Parent Company:

	For the nine months ended September 30	
	2025	2024
Net income attributable to equity holders of the parent	₱1,744,123,935	₱941,176,657
Weighted average number of common shares issued and outstanding	1,496,551,803	1,496,551,803
Basic/Diluted earnings per share	₱1.17	₱0.63

Computation of weighted average number of common shares issued and outstanding follows:

Number of shares issued	1,569,491,900
-------------------------	---------------

Less weighted average number of treasury shares	72,940,097
	<u>1,496,551,803</u>

There are no dilutive potential common stocks issued as of September 30, 2025.

4. Seasonal Aspects

The group does not have any seasonal aspect that has a material effect on its financial condition and results of operations.

5. Nature and Amount of Items Affecting Assets, Liabilities, Equity, Net Income, or Cash Flows That Are Unusual Because of Their Nature, Size or Incidence.

Aside from what is already disclosed in the management's discussion and analysis of financial condition and results of operations, there are no other assets, liabilities, equity, net income or cash flows that are unusual because of their nature, size or incidence.

6. Nature and Amount of Changes in Estimates of Amounts Reported in Prior Interim Periods of the Current Financial Year or Changes in Estimates of Amounts Reported in Prior Financial Years, if Those Changes Have a Material Effect in the Current Interim Period.

There are no changes in estimates of amounts in the third quarter of 2025.

7. Issuances, Repurchases & Repayments of Debts & Equity Securities.

There are no issuances, repurchases and repayments of debt and equity securities during the nine months ended September 30, 2025.

8. Segment Information

For management purposes, the Group is organized into business units based on their products and services provided as follows:

- Generation - generation and supply of power and ancillary services to NGCP, distribution utilities, WESM and other customers.
- Others - includes the operations of SECI, SLCI, CNPC and SMPC such as to manage, operate and invest in power generating plants and related facilities.

The operating segments are consistent with those reported to the BOD, the Group's Chief Operating Decision Maker (CODM).

The Group operates and generates revenue principally only in the Philippines (i.e., one geographical location). Thus, geographical segment information is not presented.

The CODM monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss in the consolidated financial statements.

No inter-segment revenues were earned within the Group in the nine months ended September 30, 2025 and 2024.

The following tables present revenue and income information and certain asset and liability information regarding the business segments as of September 30, 2025 and 2024:

September 30, 2025

	Before Eliminations			Adjustments and Eliminations	After Eliminations/ Consolidated
	Generation	Others	Total		
Revenue	₱2,120,146,018	-	₱2,120,146,018	-	₱2,120,146,018
Income before income tax	2,349,752,612	709,520	2,350,462,132	(381,618,615)	1,968,843,517
Net income	2,125,333,346	709,520	2,126,042,867	(381,618,615)	1,744,424,252
Total assets	10,990,616,652	56,088,980	11,046,705,632	2,008,303,959	13,055,009,591
Property, plant and equipment	437,876,314	-	437,876,314	1,267,905	439,144,219
Total liabilities	768,831,344	2,299,014	771,130,357	(2,886,218)	768,244,139
Depreciation and amortization	46,622,478	-	46,622,478	-	46,622,478

September 30, 2024

	Before Eliminations			Adjustments and Eliminations	After Eliminations/ Consolidated
	Generation	Others	Total		
Revenue	₱2,363,065,267	-	₱2,363,065,267	-	₱2,363,065,267
Income before income tax	1,435,386,948	516,089	1,435,903,037	(596,083,203)	839,819,834
Net income	1,245,614,501	19,866,089	1,265,480,590	(273,587,283)	991,893,307
Total assets	8,862,557,898	164,961,279	9,027,519,177	2,229,254,412	11,256,773,589
Property, plant and equipment	452,050,356	-	452,050,356	1,267,905	453,318,261
Total liabilities	617,617,792	2,090,551	619,708,343	(2,150,767)	617,557,576
Depreciation and amortization	44,638,318	-	44,638,318	(2)	44,638,316

Adjustments and eliminations are part of detailed reconciliations presented below:

Reconciliation of Net Income	For the nine months ended September 30	
	2025	2024
Segment net income	₱2,126,042,867	₱1,265,480,590
Equity in net earnings of associates	491,017,623	608,025,133
Dividend Income	(872,656,238)	(1,076,177,702)
Income from discontinued operations	-	₱194,865,285
Group net income	₱1,744,424,252	₱991,893,307

<i>Reconciliation of Total Assets</i>	Sep 30, 2025	Dec 31, 2024
Segment assets	₱11,046,705,632	₱9,375,038,582
Inter-segment receivables/adjustments	(6,886,022)	(6,709,707)
Investments in associates and subsidiaries	2,015,189,982	2,396,808,597
Group assets	₱13,055,009,592	₱11,765,137,472

<i>Reconciliation of Total Liabilities</i>	Sep 30, 2025	Dec 31, 2024
Segment liabilities	₱771,130,357	₱626,885,453
Inter-segment payables/adjustments	(2,886,218)	(2,709,903)
Group liabilities	₱768,244,139	₱624,175,550

9. Effect of Changes in the Composition of the Issuer During the Interim Period, Including Business Combinations, Acquisition or Disposal of Subsidiaries & Long-term Investments, Restructurings, and Discontinuing Operations.

There are no changes in the composition of the registrant during the interim period.

10. Changes in Contingent Liabilities or Contingent Assets Since the Last Annual Balance Sheet Date.

There are no changes in contingent liabilities or contingent assets since the last annual balance sheet date.

11. Financial Risk Management and Policies

The Group's principal financial instruments comprise of cash and cash equivalents and trade and other payables. The Group has various other financial assets and liabilities such as trade and other receivables, trade and other payables, PSAI/M deferred adjustments included under "Other non-current assets", due from/due to related parties, dividend payable, and customers' deposits which arise directly from its operations.

The main risks arising from the Group's financial instruments are liquidity risk and credit risk.

The Group's senior management oversees the management of these risks. The Group's senior management ensures that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Group's policies and risk appetite.

The BOD reviews and approves policies for managing each of these risks and they are summarized below.

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to risk of changes in market interest rates

relates primarily to the Group's long-term debt obligations with floating interest rates. The Group's policy is to manage its interest cost using the variable-rate debts.

As of September 30, 2025 and December 31, 2024, the Group does not have a financial liability that is exposed to interest rate risk.

Liquidity Risk

Liquidity risk is the potential of not meeting obligations as they come due because of an inability to liquidate assets or obtain adequate funding. The Group's objective is to maintain a balance between continuity of funding and flexibility. The Group maintains sufficient cash and cash equivalents to finance its operations. Any excess cash is invested in short-term money market placements. These placements are maintained to meet maturing obligations and pay dividend declarations.

The tables below summarize the maturity profile of the Group's financial assets used to manage liquidity risk and financial liabilities at September 30, 2025 and December 31, 2024 based on contractual undiscounted payments:

September 30 2025						
	Total	Current	1 to 30 Days	31 to 60 Days	61 to 90 Days	Over 90 Days
Financial Assets						
At amortized cost:						
Cash and cash equivalents	₱6,180,568,586	₱711,063,686	₱5,469,504,900	-	-	-
Trade and other receivables						
Receivable from customers	581,734,864	440,459,090	36,232,793	24,685,000	601,045	79,756,934
Dividends receivable	20,241,990	20,241,990	-	-	-	-
Current portion of PSALM deferred adjustments	-	-	-	-	-	-
Due from related parties	2,670,622	533,395	1,016,554	57,678	63,630	999,364
Others	40,450,892	9,911,482	9,947,528	6,494,411	(819,730)	14,917,201
	645,098,367	471,145,958	47,196,875	31,237,088	(155,055)	95,673,500
PSALM deferred adjustments (included in "Other noncurrent assets")	-	-	-	-	-	-
	6,825,666,953	1,182,209,644	5,516,701,775	31,237,088	(155,055)	95,673,500
At FVOCI:						
Investment in proprietary club shares	18,000,000	-	-	-	-	18,000,000
	6,843,666,953	1,182,209,644	5,516,701,775	31,237,088	(155,055)	113,673,500
Financial Liabilities						
Trade and other payables						
Trade	177,102,726	76,255,621	2,666,903	16,168,039	9,662,835	72,349,327
Nontrade	98,170,090	8,612,750	608,992	84,064	89,657	88,774,628
Accrued expenses	3,759,949	508,039	113,861	138,492	209,660	2,789,899
Due to related parties	511,675	(1)	-	-	-	511,677
	279,544,441	85,376,409	3,389,756	16,390,595	9,962,152	164,425,530
Lease liabilities	5,681,178	-	-	-	-	5,681,178
Dividends payable	85,114,175	-	-	-	-	85,114,175
Other noncurrent liability	-	-	-	-	-	-
	370,339,794	85,376,409	3,389,756	16,390,595	9,962,152	255,220,883
Net Financial Assets (Liabilities)	₱6,473,327,158	₱1,096,833,236	₱5,513,312,019	₱14,846,493	₱(10,117,207)	₱(141,547,384)

December 31 2024

	Total	Current	1 to 30 Days	31 to 60 Days	61 to 90 Days	Over 90 Days
Financial Assets						
At amortized cost:						
Cash and cash equivalents	₱4,658,740,838	₱1,435,936,435	₱3,222,804,403	-	-	-
Trade and other receivables						
Receivable from customers	358,866,241	206,551,841	22,295,828	18,260,637	11,560,823	100,197,112
Dividends receivable	-	-	-	-	-	-
Current portion of PSALM deferred adjustments	-	-	-	-	-	-
Due from related parties	2,202,093	56,965	18,058	15,000	31,611	2,080,459
Others	53,383,097	16,957,240	5,748,729	689,972	496,180	29,490,976
	414,451,431	223,566,046	28,062,615	18,965,609	12,088,614	131,768,547
PSALM deferred adjustments (included in "Other noncurrent assets")	-	-	-	-	-	-
	5,073,192,269	1,659,502,481	3,250,867,018	18,965,609	12,088,614	131,768,547
At FVOCI:						
Investment in proprietary club shares	18,000,000	-	-	-	-	18,000,000
	5,091,192,269	1,659,502,481	3,250,867,018	18,965,609	12,088,614	149,768,547
Financial Liabilities						
Trade and other payables						
Trade	122,868,576	118,004,036	1,291,838	401,473	222,566	2,948,663
Nontrade	96,209,857	8,650,401	93,744	95,357	102,878	87,267,477
Accrued expenses	9,213,278	7,664,081	(75,340)	281,501	273,361	1,069,675
Due to related parties	632,261	11,318	-	-	-	620,943
	228,923,972	134,329,836	1,310,242	778,331	598,805	91,906,758
Customers' deposits	-	-	-	-	-	-
Lease liabilities	7,986,220	-	-	-	-	7,986,220
Other noncurrent liability	60,857,481	-	-	-	-	60,857,481
	297,767,673	134,329,836	1,310,242	778,331	598,805	160,750,459
Net Financial Assets (Liabilities)	₱4,793,424,596	₱1,525,172,645	₱3,249,556,776	₱18,187,278	₱11,489,809	₱(10,981,912)

Credit Risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in a financial loss.

The Group trades only with recognized, creditworthy third parties. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit procedures. In addition, receivable balances are monitored on an ongoing basis with the result that exposure to bad debts is not significant.

With respect to credit risk arising from the financial assets of the Group, which comprise cash and cash equivalents, trade and other receivables, due from related parties and PSALM deferred adjustments included in "Other noncurrent assets", the Group's exposure to credit risk arises from default of the counterparty.

The Group's credit risk from cash and cash equivalents is mitigated by Philippine Deposit Insurance Corporation's (PDIC) insurance coverage on the cash in bank. While the Group does not hold collateral as

security, its credit risk from trade and other receivables is mitigated by the customers' deposits which are collected to guarantee any uncollected bills from the customers upon termination of the service contract.

The Group's maximum exposure equals the carrying amount of the aforementioned instruments, excluding cash on hand, and is offset by the PDIC insurance coverage and customers' deposits. The offset relates to balances where there is a legally enforceable right of offset in the event of counterparty default and where, as a result, there is a net exposure for credit risk management purposes. However, as there is no intention to settle these balances on a net basis under normal circumstances, they do not qualify for net presentation for accounting purposes.

September 30 2025			
	Maximum exposure	Offset	Exposure to credit risk
At amortized cost:			
Cash and cash equivalents (excluding cash on hand)	₱6,180,170,845	₱(4,055,905,128)	₱2,124,265,718
Trade and other receivables	645,098,367	-	645,098,367
At FVOCI:			
Investment in proprietary club shares	18,000,000	-	18,000,000
	₱6,843,269,212	₱(4,055,905,128)	₱2,787,364,085

December 31 2024			
	Maximum exposure	Offset	Exposure to credit risk
At amortized cost:			
Cash and cash equivalents (excluding cash on hand)	₱4,658,275,686	₱(8,019,398)	₱4,650,256,288
Trade and other receivables	414,451,431	-	414,451,431
PSALM deferred adjustments (included in "Other noncurrent assets")	-	-	-
At FVOCI:			
Investment in proprietary club shares	18,000,000	-	18,000,000
	₱5,090,727,117	₱(8,019,398)	₱5,082,707,719

As of September 30, 2025 and December 31, 2024, the Group's significant concentration of credit risk pertains to its trade and other receivables adjustments amounting to ₱665.7 million and ₱650.9 million, respectively, and impaired financial assets, determined based on probability of collection, are adequately covered with allowance.

Applicable for the third quarter and year ended September 30, 2025 and December 31, 2024.

The following are the details of the Group's assessment of credit quality and the related ECLs as at September 30, 2025 and December 31, 2024:

General Approach

- *Cash and cash equivalents* - As of September 30, 2025 and December 31, 2024, the ECL relating to the cash and cash equivalents of the Group is minimal as these are deposited in reputable banks which have good bank standing, and is considered to have low credit risk.
- *Due from NPC/PSALM, related parties, and other receivables* - As of September 30, 2025 and December 31, 2024, there were no individually impaired accounts. No ECL is recognized for these receivables since there was no history of default payments. This assessment is undertaken each financial year through examining the financial position of the parties and the markets in which the parties operate.

Simplified Approach

- *Trade and other receivables* - The Group applied the simplified approach using a 'provision matrix'. As of September 30, 2025 and December 31, 2023, the allowance for impairment losses as a result from performing collective and specific impairment tests amounted to ₱44.9 million. Management evaluated that the Parent Company's trade receivables are of high grade and of good credit quality.

September 30 2025					
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Lifetime ECL Simplified Approach	Total
Gross carrying amount	₱6,180,170,845	-	-	-	₱6,180,170,845
Loss allowance	-	-	-	-	-
Carrying amount	₱6,180,170,845	-	-	-	₱6,180,170,845

December 31 2024					
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Lifetime ECL Simplified Approach	Total
Gross carrying amount	₱4,658,275,686	-	-	-	₱4,658,275,686
Loss allowance	-	-	-	-	-

The Group grades its financial assets as follows:

- *Cash and Cash Equivalents*: These are assessed as high grade since these are deposited in reputable banks which have good bank standing, thus credit risk is minimal.
- *Receivable/Due from NPC/PSALM, NGCP and Distribution Utilities*: These are assessed as high grade since these receivables arose from the contract provisions of the ROMM Agreement, Operation and Maintenance Service Contracts (OMSC), Ancillary Services Procurement Agreements (ASPA), Power Supply Contracts (PSCs), and/or collectible from government institution.
- *Receivable from Customers of BLCI*: Receivables from commercial customers are classified as high grade; receivables from residential customers as standard, and receivables from the government, hospitals and radio stations as substandard. Classification is based on the collection history with these customers.

- *Due from Related Parties:* These are assessed as standard, although recoverability of these receivables is certain, as these are given secondary priority as to settlement by the related parties compared to third party obligations.
- *Other Receivables:* Grading of financial assets is determined individually based on the Group's collection experience with the counterparty.

Fair Value of Financial Assets and Financial Liabilities

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair values are obtained from quoted market prices, discounted cash flow models and option pricing models, as appropriate.

The following methods and assumptions are used to estimate the fair value of each class of financial instruments:

- *Cash and Cash Equivalents, Trade and Other Receivables, Trade and Other Payables and Due From/To Related Parties.* The carrying amounts of cash and cash equivalents, trade and other receivables, trade and other payables and due from/to related parties approximate their value due to the relatively short-term maturity of these financial instruments.
- *Investment in Proprietary Club Shares.* Market values have been used to determine the fair value of listed proprietary club shares.
- *Noncurrent Receivable (included in "Other Noncurrent Assets") and Other Noncurrent Liability.* The fair values of the noncurrent receivable and noncurrent liability are based on the net present value of cash flows using the prevailing market rate of interest. As of June 30, 2025 and December 31, 2024, the carrying values of the noncurrent receivable and noncurrent liability approximate their fair values.
- *Customers' Deposits.* The fair value of customers' deposits approximates the carrying value as (1) bill deposits earn interest at the prevailing market interest rate in accordance with regulatory guidelines and (2) the timing and related amounts of future cash flows relating to material deposits cannot be reasonably and reliably estimated for purposes of establishing their fair values using an alternative valuation technique.

As of September 30, 2025 and December 31, 2024, the Group considers its investment in proprietary club shares measured and carried at fair values of ₱18.0 million under Level 1 classification, respectively. The Group also considers its noncurrent receivable and noncurrent liability amounting to nil as of September 30, 2025 and December 31, 2024, respectively and customers' deposits amounting to nil million as of September 30, 2025 and December 31, 2024, under the Level 3 classification.

During the reporting period ended September 30, 2025, there were no transfers between Level 1 and Level 2 fair value measurements, and no transfers into and out of Level 3 fair value measurements.

12. Existence of Material Contingencies and any Other Events or Transactions that are Material to an Understanding of the Current Interim Period.

Except as already discussed in the Management's Discussion and Analysis of Financial Conditions and Results of Operations as well as in the schedules and disclosures set forth in this Selected Notes to Interim Consolidated Financial Statements, there are no other material contingencies and any other events or transactions that are material to an understanding of the current interim period.

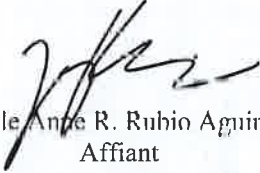
Certification

I, Mishelle Anne Rubio-Aguinaldo, Assistant Corporate Secretary of SPC Power Corporation with SEC registration number AS94-002365 with principal office at the 7/F BDO Towers Paseo, 8741 Paseo de Roxas, Makati City, on oath state:

- 1) That on behalf of SPC Power Corporation, I have caused SEC Form 17-Q (Quarterly Report as of September 30, 2025) report to be prepared;
- 2) That I read and understood its contents which are true and correct of my own personal knowledge and/ or based on true records;
- 3) That we submit the attached Quarterly Report as of September 30, 2025 in compliance with SEC reportorial requirements;
- 4) That SPC Power Corporation will comply with the requirements set forth in SEC Notice dated June 24, 2020 for a complete and official submission of reports and/ or documents through electronic mail; and
- 5) That I am fully aware that documents filed online which require pre-evaluation and/ or processing fee shall be considered complete and officially received only upon payment of the filing fee.

The Certification was issued by the undersigned Assistant Corporate Secretary in lieu of the Corporate Secretary since the latter, by reason of his health condition (i.e. diabetic, cancer survivor, and had also lost one of his kidneys) and advanced age, has to observe health and safety protocols. Moreover, since the onset pandemic in 2020, it has been a practice that the Assistant Corporate Secretary issues certifications and other reportorial requirements for reasons of practicality, convenience, and accessibility. Rest assured, the Assistant Corporate Secretary is supervised by the Corporate Secretary and has personal knowledge on all corporate matters that she certifies.

IN WITNESS WHEREOF, I have hereunto set my hand this NOV 13 2025.


Mishelle Anne R. Rubio Aguineldo
Affiant

NOV 13 2025

SUBSCRIBED AND SWORN TO before me this _____, at Makati City, Philippines by the affiant who exhibited to me her Philippine Passport No. P7454258B, issued on August 24, 2021 at DFA Manila, valid until August 23, 2031.

Doc. No. 287
Page No. 76
Book No. 111
Series of 2025.


ATTY. ADONAI JAN R. ASLARONA
Notary Public

Until December 31, 2020
IBP O.R. No. 384489/10-22-2023/Pampanga
Appointment No. M-030 (2015-2026)
Roll of Attorney No. 84603
MCLE Compliance No. VIII-0033436
PTR No. 10468948/1-06-2025/Makati City
Unit 1009 Philippine AXA Life Centre, Sen. Gil Puyat
Avenue Corner, Tindalo Street, Makati City 1286